LEGAL TANGLE

The journey of the regulation regime

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The first time the RBI warned people about the potential risks of investing in "virtual currencies" was in 2013, followed by another one in February 2017 and one in December 2017, when the Finance Ministry also issued a caution. The reason both the RBI and the Finance ministry were worried in 2017 was that riding on bitcoin becoming an investment vehicle, a number of companies sprung up that allowed people to easily invest in bitcoin. These companies promised the returns offered by cryptocurrencies would balloon in price, which was just about the only thing the investors knew about cryptocurrencies. When the investors found out that they had put money in thinly disguised ponzi schemes, they went to the authorities, who started making a series of crypto busts. GainBitcoin, DietBitcoin, OneCoin, MTC, RippleFuture, NCRCoin, ATCCoin and many others. Fraudsters had already cheated people of thousands of crores in the name of cryptocurrencies.

In December 2017, the Finance Ministry, in its warning against investing in virtual currencies, did not make a distinction between real cryptocurrencies and ponzi schemes. The warning reads, "there has been a phenomenal increase in recent times in the price of Virtual 'Currencies' (VCs) including Bitcoin, in India and globally. The VCs don't have any intrinsic value and are not backed by any kind of assets. The price of Bitcoin and other VCs therefore is entirely a matter of mere speculation resulting in spurt and volatility in their prices. There is a real and heightened risk of investment bubble of the type seen in ponzi schemes which can result in sudden and prolonged crash exposing investors, especially retail consumers losing their hard-earned money. Consumers need to be alert and extremely cautious as to avoid getting trapped in such Ponzi schemes."

The ponzi scams gave the legitimate cryptocurrencies a bad name, leaving those entrepreneurs working in the crypto industry furious. The scams had nothing to do with cryptocurrencies at all. In April 2018, BP Kanungo, Deputy Governor at Reserve Bank of India outlined RBI's approach at a policy press conference, saying "now we have decided to ring fence the RBI regulated entities from the risk of dealing with entities associated with virtual currencies. They are required to stop having business relationship with entities dealing with virtual currencies forthwith and unwind the existing relationship in a period of three months time. However, we also recognize that the blockchain technology or the distributed ledger technology that lies beneath the virtual currencies has potential benefits for financial inclusion and enhancing the efficiency of the financial system and we also believe that they should be encouraged to be exploited beneficially for the economy." At the same time, the RBI, while accepting the benefits of using blockchain for increasing the efficiency and inclusion of financial institutions, announced that the RBI would not be providing any kind of services to individuals or institutions dealing with virtual currencies. The reasoning provided was "Virtual Currencies (VCs), also variously referred to as crypto currencies and crypto assets, raise concerns of consumer protection, market integrity and money laundering, among others." Further, a "Statement on Developmental and Regulatory Policies" issued to all the institutions regulated by the RBI directed them to do the same, not to provide services to individuals dealing with VCs and to exit any such existing relationships. This was a problematic and controversial circular. Cryptocurrencies in India were strangled by this regulatory regime, with economic and even geopolitical consequences. Just a month after the ban, Venezuela offered to sell India oil for cheap, if only India would use the petro, Venezuela's national cryptocurrency to purchase the oil. India declined the proposal, and when the then Indian Foreign Minister Sushma Swaraj was quizzed about it at a conference, she responded "We cannot have any trade in cryptocurrency as it is banned by the Reserve Bank of India. We will see which medium we can use for trade."

All the legitimate crypto services companies were scrambling to reverse the regulations that had essentially destroyed their industry overnight. Crypto entrepreneurs and internet services companies challenged the ban in court, with the main petitioner being an Industry body called Internet and Mobile Association of India (IAMAI).